



NAZARBAYEV
UNIVERSITY

BUS 101 - Core Course in Business

FINAL PROJECT REPORT

HOBBYPASS

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The problem/opportunity we are addressing

The opportunity Hobbypass is tackling lies in simplifying the process by which people get access to recreational and leisure activities in Astana. Currently, for people to get hobbies such as yoga, painting, horseback riding, and other classes, it involves identifying them individually and then registering and making necessary payments for these services. It is mostly tiresome, pretty costly, and not modern since there is a growing need for integrated solutions among modern users. Most of these businesses face problems in becoming more visible and retaining their customers due to limited reach for marketing or not having options to make flexible payments.

Mission

Hobbypass works to solve these problems through an integrated subscription model that allows ease for both clients and activity providers. With Hobbypass, any customer will have the surety of getting one paid subscription with access to variants of hobbies and activities free from having to commit them in a number of ways from payments and arrangements. This app allows interested and participatory flexibility with three different tiers for subscriptions entailing: Standard, premium, and VIP.

These subscription types differ by the number of monthly classes available, making options available for casual hobbyists and more dedicated enthusiasts.

The product is designed to make life easier for the users, but it also acts like a digital platform, putting local businesses out there for more people. By putting up offerings in one single application, Hobbypass allows businesses to be in the limelight and thereby attract clients who might remain oblivious to their existence. In addition, the gamification aspect involves a virtual passport where

users collect stamps for every activity, thus raising engagement and encouraging users to get into new hobbies. As their vision goes, Hobbypass is for a healthy lifestyle and interaction between people; it gives support through business to local businesses and events in Astana. With this subscription-based approach, Hobbypass fills critical market inefficiencies and opens further opportunities for growth in leisure and recreation.

Value proposition

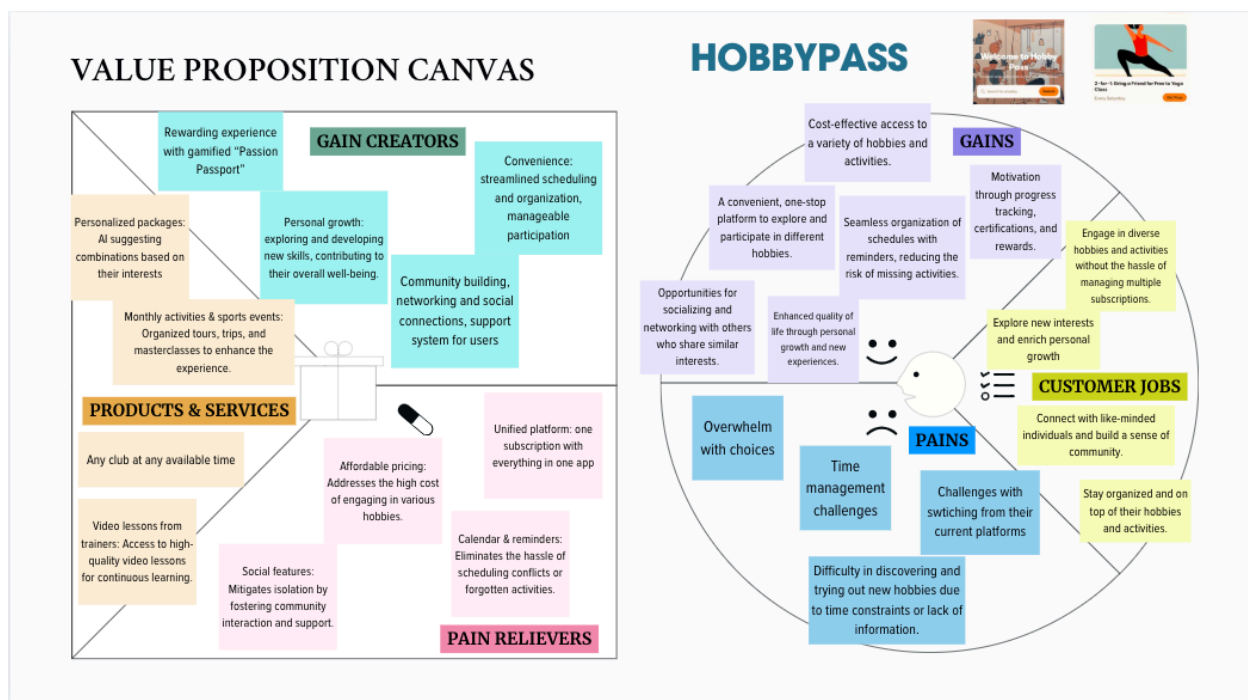


Diagram 1.

Diagram 2.

Products and Services

We offer an innovative app that consolidates various hobbies and activity services into a customizable subscription. This platform will provide users with seamless access to experiences that enrich their lives, foster personal growth, and encourage exploration of new interests, all while supporting local businesses and activity providers.

Gain creators are customer gains that we can provide for our customers, as they are listed below:

- “Passion Passport” allows users to explore various activities without juggling multiple subscriptions. Users earn stamps for participating in activities, making the experience more fun and rewarding.
- Our programs will enhance the personal growth of each of our customers as they explore and try themselves in different activities by contributing to their overall well-being.
- Users can connect with others who share similar interests. They can form groups, chat, share their achievements, or collaborate on projects. This fosters a community feeling and encourages peer support.
- Our app is all about convenience. A built-in calendar where users can schedule their classes, set reminders, and sync with personal calendars. This ensures they don’t miss out on any of their favorite hobbies.

Pain relievers are our solution to reduce customers’ pain, as follows:

- The prices are affordable. Customers can get more value through bundled offerings.
- The personalization feature allows many subscription services to use data to tailor recommendations based on customer preferences and behavior.
- A unified platform that reduces stress and decision fatigue associated with planning leisure time, as customers can enjoy the options provided.
- Customers can test out different activities without committing to long-term engagements, helping them discover new interests or hobbies.

The strategy of Getting Our Products to Customers

Our business will cooperate with different industries that specialize in offering services in the spheres of entertainment, art, academics, and so on. We will include their services in one platform and provide users with a unified subscription. The application will contain varied features that will differentiate us from other apps.

The strategies employed in this business model are **segmentation** and **targeting**. For consumers, the emphasis is on offering a flexible, subscription-based platform that appeals to young, active individuals and families seeking variety in hobbies and activities. On the B2B side, the platform

caters to businesses across various industries, allowing them to expand their customer base by offering diverse activities that align with consumer interests.

We are planning to target young, active individuals and families whose ages are between 15-40 years old because of their:

- Lifestyle: active people always try to engage in different sorts of activities.
- Open-mindedness and creativity: they might be sporty people keen on trying new things.
- Living location: mainly citizens of Astana and Almaty can use this platform.

We also target various industries which are in the entertainment and sports spheres because:

- They provide our platform with different activities such as sports, arts, academics, etc.
- They can boost their businesses, as classes will be conducted in both formats: offline for Astana and Almaty residents and online for users all over the world.

Considering that there is an existing market and a designated audience, we will **enter the market by**:

- Targeting Specific Audience: The business model focuses on reaching specific consumer segments such as young professionals, families, and fitness enthusiasts who seek flexible access to diverse activities. By understanding their needs, preferences, and behaviors, the platform tailors its offerings and communication strategies to attract and retain these target groups effectively.
- Lowering Prices: Offering competitive pricing, including subscription models and discounts, makes the platform more accessible to a wider audience, especially students and young professionals. This pricing strategy helps drive user acquisition while maintaining affordability and value for customers seeking a variety of activities under one package.
- Marketing and Promotion: To effectively promote the app, targeted marketing campaigns are executed across digital channels such as social media, influencers, and partnerships

with local businesses. These efforts aim to build brand awareness, highlight the platform's benefits, and encourage both new sign-ups and repeat usage among existing customers.

The estimated market size

Target Market: Females and males in Astana aged 15–40 years = 455712 people (Source: Qazstat)

Estimated Subscription Sales: 5000 (total sold, per year).

Average Selling Price: 45,000 tenge (average subscription cost).

Market Size Calculation:

Estimated Subscriptions $\times$ Average Selling Price = $5000 \times 45,000 = 2250000$ tenge per year.

Market Share

Planning a market strategy is one of the key aspects of the success of any business. Based on the above and the data and financial indicators obtained, our goal is to take a stable market share within five years of operation.

1. Market Share Projections

To estimate market share, we consider the expected total industry revenue and our sales goals. Assuming steady growth and an increase in customer acquisition, our projections for each year are as follows:

- **Year 1:** Establishing presence, targeting a **5% market share**.
- **Year 2:** Expanding marketing efforts and partnerships, aiming for a **7% market share**.
- **Year 3:** Strengthening reputation and customer base, achieving a **10% market share**.
- **Year 4:** Broadening product reach and introducing premium offerings, growing to a **12% market share**.
- **Year 5:** Maximizing market penetration with strategic innovations, reaching a **15% market share**.

2. Sales Overview

Pricing and Sales Figures

Our pricing model is designed to appeal to a broad spectrum of customers, offering Standard, Premium, and VIP packages. The projected sales figures over five years are detailed below:

Package	Price (KZT)	Year 1 sales	Year 2 sales	Year 3 sales	Year 4 sales	Year 5 sales
Standard	30,000-35,000	3,000	3,500	4,000	4,500	4,700
Premium	45,000-50,000	700	1,000	1,250	1,500	1,700
VIP	60,000	100	150	175	200	200

Table 1.

- Year 1: 3,800 units
- Year 5: 6,600 units

3. Revenue Breakdown

The total projected revenue reflects the combination of sales and pricing growth, as shown below:

Year	Revenue (KZT)
Year 1	127,500,000
Year 2	159,000,000

Year 3	186,750,000
Year 4	244,500,000
Year 5	261,500,000

Table 2.

Growth rate: 3% annually.

4. Cost Structure

Cost of Services Sold (COSS)

To maintain strong partnerships, 60% of revenue will be allocated to partners annually. For instance:

- **Year 1: 76,500,000 KZT**
- **Year 5: 156,900,000 KZT**

Fixed and Variable Costs

Operating expenses, including salaries, rent, and advertising, are projected as follows:

Category	Year 1 (KZT)	Year 2 (KZT)	Year 3 (KZT)	Year 4 (KZT)	Year 5 (KZT)
Salaries	34,800,000	40,200,000	49,800,000	49,800,000	49,800,000
Rent	6,000,000	6,000,000	6,000,000	6,000,000	6,000,000

Advertising	6,000,000	6,000,000	6,000,000	6,000,000	6,000,000
Other Expenses	2,400,000	2,400,000	2,400,000	2,400,000	2,400,000
Depreciation	504,000	504,000	504,000	504,000	504,000

Table 3.

5. Profit Margins

The gross profit and operating expenses allow us to calculate net income:

Year	Gross Profit (KZT)	Operating Expenses (KZT)	Net Income (KZT)
Year 1	51,000,000	41,704,000	9.296,000
Year 2	63,600,000	47,104,000	16,496,000
Year 3	74,700,000	57,104,000	17.596,000
Year 4	97,800,000	57,104,000	40,696,000
Year 5	104,600.000	57,104,000	47,496,000

Table 4.

6. Workforce and Resource Allocation

The team structure ensures operational efficiency:

Position	Year 1	Year 5
Manager	1	1
Accountant	1	2
Marketing and PR Specialist	2	2
Customer Relationship	2	4
IT Team	4	4

Table 5.

This gradual expansion matches the growing market demand.

By focusing on competitive pricing, effective partnerships, and strategic marketing, we aim to achieve significant market penetration and consistent growth. These projections reflect our commitment to scalability and sustainable operations over the next five years.

Priorities for action

Our first priority is to identify our primary market segment and determine the need for hobby-related activities, by conducting thorough market research. This includes determining customers' behaviour, what hobbies are popular among, and checking out our competitors. We'll gather information from surveys, focus groups, and business sources to help us create products that meet customer needs. After that, we'll make a prototype of our platform to test the idea and make sure it works well for our customers.

Next, we'll focus on developing and improving our app. We'll start by making sure the user experience is well managed, by ensuring that our clients are provided with an easy-to-use interface, also easy booking process, and secure payments. As we will offer a wide range of activities, we'll work on forming partnerships with similar vendors. Further, we'll look for hobby instructors, companies, and event planners to team up with so we can expand our offerings.

To attract and connect with potential customers, it's important for our business to create online image through online marketing and social media. To make Hobby Pass more trustworthy and interesting for our potential clients, we'll use targeted ads, guides, and customer reviews.

Another priority is maintaining financial stability. As our vendor progresses, we will set up financial systems that are based on rules and industry standards. This includes tracking our expenditures, managing cash flows well, and making sure we make a profit as we grow. To make effective decisions that profit our business, we'll monitor key numbers like the cost of getting new customers, how much we earn, and how often we sell our products.

Finally, to enhance our products and services, we'll pay close attention to data and customer feedback. By analyzing performance data, we'll find new opportunities and areas where we can improve further. We also consider that there is an increasing demand for special, personalized activities that people enjoy doing in their free time. We believe that people, especially those living in cities and with extra money to spend, will be happy to pay for easy access to carefully selected experiences that help them unwind, learn new things, and connect with others. Another important point is that we expect our platform to create strong loyalty among customers. We think people will keep using Hobby Pass for different activities over time, due our good experiences and the wide variety of options available.

Key assumptions

Hobby Pass represents an important possibility in the rising demand for customized activities. The online platform responds to the growing demand for hobby-related activities by providing

personalized options that consumers are ready to pay for. Hobby Pass, with its adjustable business model that allows for growth without major cost increases, has the potential to grow rapidly as additional users and providers join. The platform's simplicity and all-in-one features make it a simple alternative for clients eager to explore, book, and enjoy activities quickly, establishing Hobby Pass as an industry leader.

The platform's convenience is an important consideration. . The platform focuses on important groups with disposable income, such as urban professionals, families, and retirees, who want to invest in activities that would enrich their lives.

Low operational costs and broad sources of income, such as commissions and subscriptions, provide investors with high margins and lower risks. Furthermore, Hobby Pass has the ability to expand beyond its current market by entering new markets and delivering a broader range of activities.

The ventures like scalability, simplicity, profitability, and market demand makes Hobby Pass a promising investment opportunity.

Summary Financial Projections and Expected Returns to Investors

Prices

The structure of our business model is based on monthly subscriptions. We propose three main types of subscriptions: standard, premium and VIP. During the price formation process we focused our research on the comparison with the prices from our competitors. Specifically, the prices of companies such as 1Fit, YayaPass and other fitness companies like World Class Almaty and Gorilla Gym were included in the research. Thus, the numerical and logical average of these prices have been derived and used as a basis of our price formation process.

Standard	Premium	VIP
Number of visits: 12 Basic kinds of clubs are included No personal trainer 30,000kzt per month	Number of visits: 16 Basic + premium kinds of clubs Personal trainer for some clubs 45,000kzt per month	Number of visits: unlimited Basic + premium + VIP clubs Personal trainer for some clubs 60,000kzt per month

Table 6. Subscriptions

Costs

The **Cost of Services Sold (COSS)** reflects the amount of payment we will pay to our partners. As various clubs will be providing their services for us, we will be paying them 60% of our income each month. These costs are calculated as a percentage of the total sales for each subscription type (Standard, Premium, and VIP):

- **Standard Subscription:**
 - Year 1 COSS is 60% of total sales, amounting to 54,000,000 ₸.
 - This percentage remains consistent for future years, increasing with higher sales volumes.
- **Premium Subscription:**
 - Year 1 COSS is 60% of Premium sales, amounting to 18,900,000 ₸.

- Similarly, this cost scales with increasing sales of Premium services.
- **VIP Subscription:**
 - Year 1 COSS is 60% of VIP sales, amounting to 3,600,000 ₸.
 - Although this segment has smaller volumes, the costs grow proportionately with higher sales.

In total, the COSS for Year 1 is 76,500,000 ₸ and rises to 156,900,000 ₸ by Year 5, indicating the scaling of operations.

Expenses

The **capital expenditures (CapEx)** and **operating expenses** represent significant components of the business's expenses. The **CapEx** includes the purchase of fixed assets required for the business, such as computers (4,000,000 KZT), printers (80,000 KZT), and office furniture (3,000,000 KZT), amounting to a total initial investment of **7,080,000 KZT** in Year 0. For **operating expenses**, key costs include salaries for employees such as managers, IT specialists, and customer relationship agents, with total salaries reaching **34,800,000 KZT** in Year 1. Additional operating expenses include rent (6,000,000 KZT), advertising (6,000,000 KZT), and other miscellaneous expenses (2,400,000 KZT), summing up to a total of **14,400,000 KZT** in Year 1. These expenses are essential for sustaining daily operations and ensuring the smooth functioning of the business.

Initial Capital requirements

The initial investment required for the business is calculated by combining the capital expenditures (CapEx) and the working capital requirements (NWC). The CapEx includes the purchase of fixed assets such as computers (4,000,000 KZT), printers (80,000 KZT), and office furniture sets (3,000,000 KZT), totaling 7,080,000 KZT. Therefore, the total initial investment needed to start the business is 7,080,000 KZT.

Products number growth

The fitness and wellness industry in Kazakhstan is growing rapidly, with increasing awareness of health and fitness. The volume of the Kazakhstani fitness services market increased by 32% last

year and is estimated at 141 billion tenge. The growth rate of the market was one of the highest in the last six years (Figure 1). That’s why we estimate the **product numbers growth** to increase steadily in sales across the Standard, Premium, and VIP subscription categories over the five years of operation. In Year 1, the total number of sales is **3,800**, which grows to **6,600** by Year 5, indicating an overall growth of **73.7%** over the period. This growth is driven by increases in each subscription type: Standard subscriptions grow from **3,000 in Year 1** to **4,700 in Year 5** (a growth of **56.7%**), Premium subscriptions increase from **700 in Year 1** to **1,700 in Year 5** (**142.9% growth**), and VIP subscriptions rise from **100 in Year 1** to **200 in Year 5**, achieving a growth of **100%**. These figures demonstrate the anticipated expansion in customer base and demand for the company’s offerings over time.

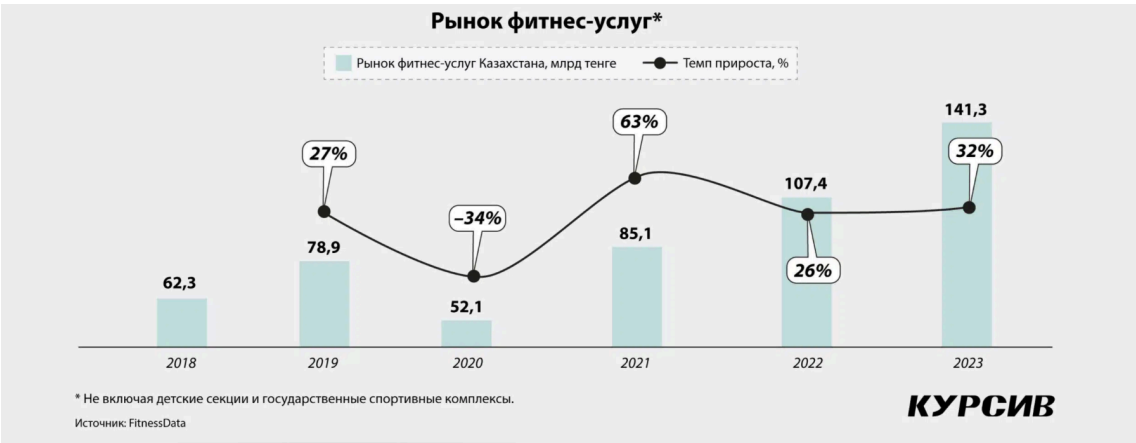


Figure 1. Growth of fitness market in Kazakhstan provided by FitnessData

Total number of sales

Item	Year 1	Year 2	Year 3	Year 4	Year 5
Standard	3,000	3,500	4,000	4,500	4,700
Premium	700	1,000	1,250	1,500	1,700
VIP	100	150	175	200	200
Total	3,800	4,650	5,425	6,200	6,600

Table 7. Predicted total number of sales provided in Excel Worksheet

Net income

The Net Income is calculated as the final profit after deducting all expenses and taxes from the company's revenue. In Year 1, the company generates a Net Income of 1,166,400 ₸, increasing to

35,906,400 ₹ in Year 5, reflecting a consistent growth trajectory. This growth is primarily driven by the increase in sales revenue, which rises from 127,500,000 ₹ in Year 1 to 261,500,000 ₹ in Year 5. The main deductions affecting the Net Income include operating expenses such as salaries (starting at 34,800,000 ₹ in Year 1 and remaining constant in subsequent years), rent (6,000,000 ₹ annually), advertising (6,000,000 ₹ annually), and other expenses (2,400,000 ₹ annually). Additionally, depreciation expenses are 504,000 ₹ annually, reflecting the amortization of the company's fixed assets. Taxes, applied at a 10% rate, increase over the years in line with rising EBIT, from 129,600 ₹ in Year 1 to 3,989,600 ₹ in Year 5. This breakdown demonstrates that controlled costs and growing revenues contribute significantly to the upward trend in Net Income, reflecting a scalable and profitable business model.

Income Statement Projections

	0	1	2	3	4	5
Sales		127,500,000 ₹	159,000,000 ₹	186,750,000 ₹	244,500,000 ₹	261,500,000 ₹
COSS	-	76,500,000 ₹	95,400,000 ₹	112,050,000 ₹	146,700,000 ₹	156,900,000 ₹
Gross Profit		51,000,000 ₹	63,600,000 ₹	74,700,000 ₹	97,800,000 ₹	104,600,000 ₹
Operating Expenses						
Salaries	-	34,800,000 ₹	40,200,000 ₹	49,800,000 ₹	49,800,000 ₹	49,800,000 ₹
Depreciation	-	504,000 ₹	504,000 ₹	504,000 ₹	504,000 ₹	504,000 ₹
Rent	-	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹
Advertising	-	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹	6,000,000 ₹
Other	-	2,400,000 ₹	2,400,000 ₹	2,400,000 ₹	2,400,000 ₹	2,400,000 ₹
Total operating expenses	-	49,704,000 ₹	55,104,000 ₹	64,704,000 ₹	64,704,000 ₹	64,704,000 ₹
EBIT		1,296,000 ₹	8,496,000 ₹	9,996,000 ₹	33,096,000 ₹	39,896,000 ₹
Taxes	-	129,600 ₹	849,600 ₹	999,600 ₹	3,309,600 ₹	3,989,600 ₹
Net Income	- ₹	1,166,400 ₹	7,646,400 ₹	8,996,400 ₹	29,786,400 ₹	35,906,400 ₹

Table 8. Income statement

Free Cash Flow

Our company demonstrates strong financial performance, as reflected in its Free Cash Flow (FCF) projections (Figure 2 and table 9). The FCF starts with a significant initial investment of ₹7,080,000 in Year 0, allocated toward capital expenditures for essential assets to support operations. Although the cash flow in Year 1 remains constrained due to operating and working capital requirements, it gradually improves, reaching ₹3,429,599 in Year 2. By Year 4, the FCF grows substantially to ₹27,980,404, indicating enhanced operational efficiency and profitability as the company scales its activities.

Additionally, the Free Cash Flow with Continuation Value (CV) incorporates the terminal value, projecting long-term financial sustainability with a growth rate of 3%. By Year 5, this measure demonstrates a robust value of ₸252,214,624, highlighting the company's potential for substantial returns in the long run. With a calculated Net Present Value (NPV) of ₸114,555,596 and an Internal Rate of Return (IRR) of 118%, these projections emphasize the company's capability to generate strong returns on investment. The positive cash flow trajectory reinforces confidence in the business's growth prospects and attractiveness to investors.

Free Cash Flow (Tenge) in 5 years

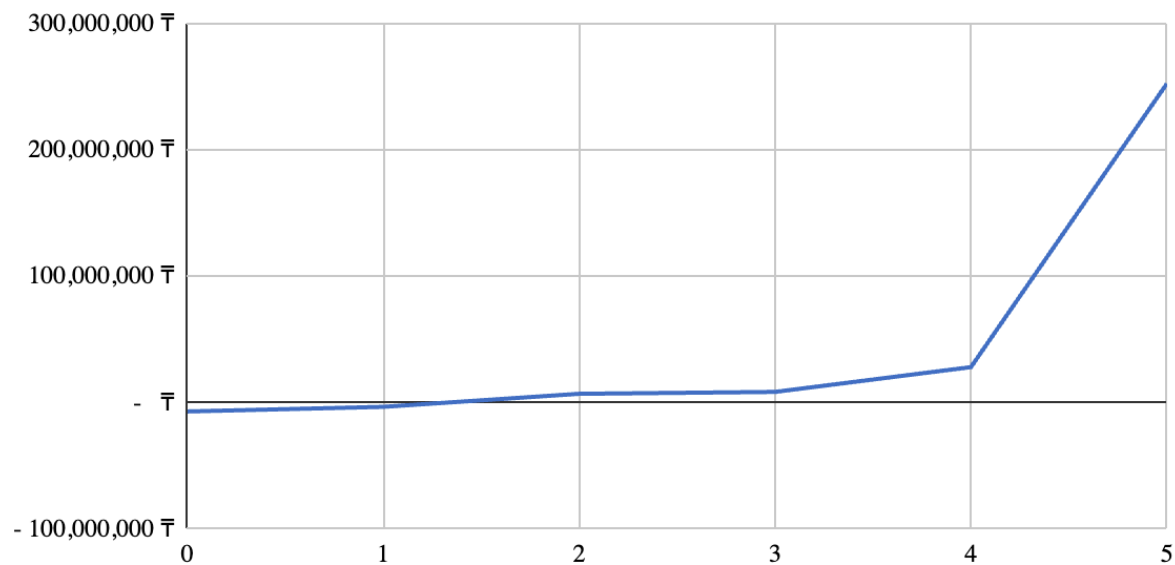


Figure 2. Free Cash Flow

Free cash flow	0	1	2	3	4	5
Plus: Depreciation		504,000 ₸	504,000 ₸	504,000 ₸	504,000 ₸	504,000 ₸
Less: capex	- 7,080,000 ₸	- ₸	- ₸	- ₸	- ₸	- ₸
Less: increases in NWC		- 5,100,000 ₸	- 1,260,000 ₸	- 1,110,000 ₸	- 2,310,000 ₸	- 680,000 ₸
Free cash flow	- 7,080,000 ₸	- 3,429,599 ₸	6,890,402 ₸	8,390,403 ₸	27,980,404 ₸	35,730,405 ₸
Continuation value						216484218.5
Free cash flow with CV	- 7,080,000 ₸	- 3,429,599 ₸	6,890,402 ₸	8,390,403 ₸	27,980,404 ₸	252,214,624 ₸
NPV	114,555,596 ₸					
IRR	118%					
Payback Period	3.07					

Table 9. Free Cash Flow statement

Payback period

Payback Period

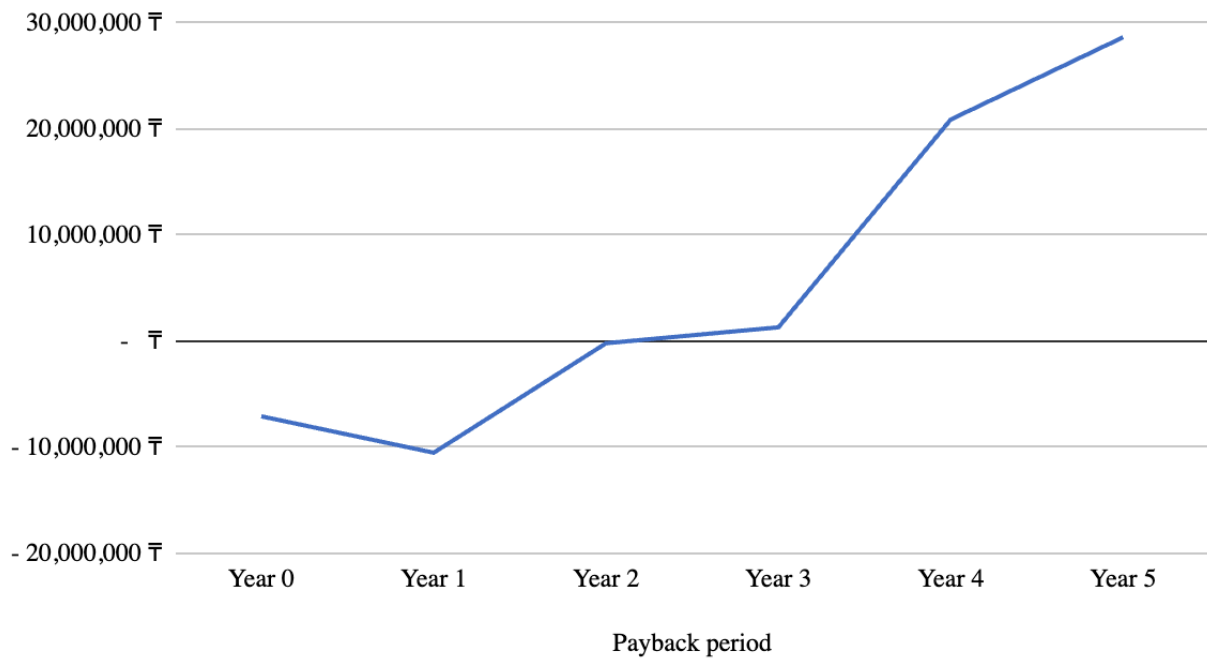


Figure 3. Payback period

Finally, the payback period data in Figure 3 indicates that the company's initial investment in Year 0 is - 7,080,000 T. Early on, cash flows are negative; they progressively improve in Years 2 and 3, when they finally turn positive. With a payback period estimated at roughly 3.07 years, the initial investment will be recovered rather quickly. This points to a potentially profitable trajectory that may continue to generate positive cash flows after breaking even.

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We confirm that all members of our team have made a legitimate effort to contribute to this submission and agree that all members should receive the same Assessment Grade.

“Yes”